



PROFIT AND LOSS STATEMENT (P&L)

The profit and loss statement, also known as the income statement, statement of operations, or statement of earnings, reveals what has happened during a specific period of time. This statement provides a detailed account of the company's financial performance over a set period, either annually or quarterly. The P&L statement includes the following details:

- **Earnings:** It shows the company's total earnings for the specified period, giving an insight into the revenue generated.
- **Outlays:** It lists the expenses incurred to produce this income, highlighting the costs of operations and other expenditures.
- **Depreciation and Tax:** It provides information on depreciation and taxes, showing how these factors impact the overall earnings.
- **Earnings Per Share (EPS):** It calculates the value of earnings per share, which is crucial for investors to understand the profitability of their shares.

By examining the P&L statement, investors and stakeholders can gauge the company's financial health, operational efficiency, and profitability over the period in question. Here is the P&L statement of TATA Motors Ltd. Let us understand every line item.

		(₹ in crores)	
Particulars	Notes	Year ended March 31, 2025	Year ended March 31, 2024*
Revenue from operations	34		
(a) Revenue		4,36,821	4,31,212
(b) Other operating revenues		2,874	2,804
I. Total revenue from operations		4,39,695	4,34,016
II. Other income	35	6,244	5,692
III. Total income (I+II)		4,45,939	4,39,708
IV. Expenses:			
(a) Cost of materials consumed		2,41,148	2,49,278
(b) Purchase of products for sale		27,802	25,043
(c) Changes in inventories of finished goods, work-in-progress and products for sale		2,836	(1,566)
(d) Employee benefits expense	36	47,767	41,990
(e) Finance costs	37	5,083	7,594
(f) Compulsorily convertible preference share measured at fair value (gain)/loss		(84)	48
(g) Foreign exchange loss/(gain) (net)		(922)	15
(h) Depreciation and amortisation expense		23,256	27,239
(i) Product development/engineering expenses	38(ii)	10,716	10,959
(j) Other expenses	39	85,399	77,198
(k) Amount transferred to capital and other account	38(i)	(31,105)	(26,758)
Total expenses (IV)		4,11,896	4,11,040
V. Profit before share of profit in equity accounted investees, exceptional items and tax (III-IV)		34,043	28,668
VI. Share of profit in equity accounted investees (net)	8	287	700
VII. Profit before exceptional items and tax (V+VI)		34,330	29,368
VIII. Exceptional items [loss]/(net)	40	550	939
IX. Profit before tax from continuing operations (VII-VIII)		33,780	28,429
X. Tax (credit)/expense (net):			
(a) Current tax		5,023	4,937
(b) Deferred tax		5,479	(8,961)
Total tax (credit)/expense (net)	22	10,502	(4,024)
XI. Profit for the year from continuing operations (IX-X)		23,278	32,453





This is the Profit and Loss (P&L) Statement of Tata Motors Ltd. for the financial year 2024-25, sourced from the company's annual report. To gain a clear understanding, let's break down the basic structure and analyze each line item.

The table has four columns: Particulars, Notes, Year Ended March 31, 2025, and Year Ended March 31, 2024. The "Particulars" column describes each line item, while the "Notes" column provides reference numbers for additional details, which can be found in the annual report. The last two columns show the financial information for the respective years, with amounts reported in crores of rupees.

THE TOP LINE OF THE COMPANY (REVENUE)

You may have heard analysts discuss a company's "top line". When they mention this, they are referring to the revenue section of the P&L statement. The revenue figures are the first set of numbers listed in the P&L.

The first line here is "Revenue from Operations," which includes a note section for further details. We will analyze this in detail later, but first, let's look at the subsections of Revenue from Operations. These subsections are "Revenue" and "Other Operating Revenues."

For the financial year 2023, the revenue was Rs. 4,39,708 crores, while it increased to Rs. 4,45,939 crores in the financial year 2024. Note that the financial year 2024 spans from April 1, 2023, to March 31, 2024, and similarly, the financial year 2024 spans from April 1, 2024, to March 31, 2025. This indicates an increase in revenue of Rs. 6,231 crores.

Now, let's consider the "Other Operating Revenues," which were Rs. 2,874 crores for the financial year 2025, compared to Rs. 2,804 crores for the financial year 2024. Other Operating Revenue can include income from the sale of goods or services that are not part of the business's core activities.

Summing these two subsections gives us the Total Revenue from Operations.





	Year ended March 31, 2025	Year ended March 31, 2024
(a) Sale of products (refer note below)		
(i) Vehicles	3,75,928	3,75,685
(ii) Spare parts	38,064	36,274
(iii) Miscellaneous products	13,957	15,008
Total Sale of products	4,27,949	4,26,967
(b) Sale of services	6,736	4,740
Revenue from contract with customers	4,34,685	4,31,707
(c) Financing revenues	48	50
(d) Realised revenue hedges	2,088	(545)
Revenue	4,36,821	4,31,212
(e) Other operating revenues	2,874	2,804
Total Revenue from operations*	4,39,695	4,34,016
Note:		
Includes variable marketing expenses netted off against revenue	(48,625)	(40,056)

Let's analyze the note for Revenue from Operations in detail. This section will provide more information on the revenue components.

- **Sale of Products:** This includes subsections such as the sale of vehicles, spare parts, and miscellaneous products (any product that the company sells other than vehicles and spare parts). Refer to the revenue from each part in the table above. Adding these will give the total sale of products for Tata Motors in the financial year 2023-2024.
- **Sales of Services:** This refers to revenue generated from service centers or other services provided to customers. The revenue from these services is listed in this row. Adding all the rows discussed so far will account for the revenue from contracts with customers, which includes revenue generated from any service or product sales provided to customers.
- **Finance Revenues:** This includes revenue generated from financing activities done by the company, such as interest income from loans provided to customers.
- **Realized Revenue Hedges:** This includes gains or losses realized from hedging activities, which are financial strategies used to manage risk in revenue fluctuations.

Summing all these components will give us the total revenue. Next, we have Other Operating Revenues, which, as discussed earlier, could be income from the sale of goods or services unrelated to the business's core activities. Finally, adding all these rows together will give us the Total Revenue from Operations.





	(₹ in crores)	
	Year ended March 31, 2025	Year ended March 31, 2024
(a) Interest income on financial assets carried at amortised cost	2,473	2,488
(b) Government incentives (refer note below)	3,458	2,971
(c) Profit on sale of investments measured at FVTPL	224	129
(d) Dividend income from investments measured at FVTOCI	64	44
(e) Fair value gain on investments measured at FVTPL	6	24
(f) Fair value gain on contractual financial assets measured at FVTPL	2	-
(g) Gain on interest rate swap	-	36
(h) Other deferral income [refer note 8 (a)(ii)]	17	-
Total	6,244	5,692

Let's look at the details of other income, as referenced in note 35 of the annual report. This section is located just below the "Total Revenue from Operations" row in Table 1. Here, we will briefly discuss the components of other income.

- 1. Interest Income on Financial Assets Carried at Amortized Cost:** This refers to the interest earned on financial assets that are measured at their initial cost minus any repayments and adjusted for any amortization of discount or premium over time.
- 2. Dividend Income from Investments Measured at FVTOCI:** This is the income received from dividends, which are payments made by a company to its shareholders out of its profits, on investments that are measured at Fair Value Through Other Comprehensive Income (FVTOCI).
- 3. Profit on Sales of Investments Measured at FVTPL:** This represents the profit earned from the sale of investments that are measured at Fair Value Through Profit or Loss (FVTPL).
- 4. Incentives:** This includes export incentives and other recurring and non-recurring incentives from the government which may be provided for various reasons such as ESG promotion or R&D purposes. Adding these amounts gives the total mentioned in the incentives row.
- 5. Fair Value Gains on Investments Measured at FVTPL:** This refers to gains from investments that are measured at fair value through profit or loss.
- 6. Gain on Interest Rate Swap:** This is the gain realized from interest rate swap transactions. There is no mention of this gain for the year ended March 31, 2023, possibly due to the absence of such transactions in that year.

Adding all these components will give us the total other income.

Total other income + Operating income = Total income for entity during the FY

